

DRAFT LEGISLATION

The Systemic Exploitation Prevention Act

S.E.P.A.

A Framework for Strict Liability Against Systemic Harm

Sponsoring Body
[TO BE ASSIGNED]

Version
1.0 — Discussion Draft

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NOTICE: This is a discussion draft for scholarly, policy, and advocacy purposes.

PREAMBLE

The Congress of the United States finds and declares the following:

- (a)** That the foundational promise of this Republic — that government exists to serve the people who constitute and fund it — has been systematically and measurably subordinated to the extraction of wealth from those people by entities and individuals who possess disproportionate access to political, legal, and economic power;
- (b)** That the existing legal architecture of the United States has been shaped through decades of documented lobbying expenditure by interests whose profit depends upon the perpetuation of exploitative conditions, and reflects those interests with a specificity that cannot be attributed to coincidence;
- (c)** That the accumulation of measurable harm to human beings and to the natural systems upon which human life depends — harm that is direct, indirect, immediate, and intergenerational — constitutes a moral, economic, and constitutional crisis that existing statutory and regulatory frameworks have proven structurally incapable of addressing;
- (d)** That the legal standard of proving malicious intent (*mens rea*) as a precondition for holding institutional actors accountable for systemic harm has functioned as a mechanism of impunity, because organizational structures are deliberately designed to distribute moral responsibility so diffusely that no individual can be located at the point of accountability;
- (e)** That the public interest demands the establishment of a strict liability standard in which the act of exploitation and its resulting harm are sufficient grounds for legal accountability, irrespective of the motivation, organizational structure, or legal status of the responsible actor;
- (f)** That any enforcement architecture for such a standard must be constitutionally insulated from the same processes of institutional capture that have rendered existing regulatory bodies instruments of the industries they were created to oversee;
- (g)** That reparation — the full restoration of damaged systems, communities, and individuals to their pre-exploited condition — is not optional supplementary relief but an affirmative obligation of any entity found liable under this Act; and
- (h)** That incarceration of natural persons responsible for irreversible harm, or for recurrent exploitation following prior adjudication, is a proportionate and necessary consequence required to alter the behavioral calculus of those whose decisions produce systemic harm at scale.

SECTION 1 — SHORT TITLE AND PURPOSE

This Act shall be known and may be cited as the Systemic Exploitation Prevention Act (S.E.P.A.).

The purpose of this Act is to:

- (1) Establish a comprehensive, behaviorally grounded, strict-liability legal standard prohibiting exploitation as herein defined;

- (2) Create an independent enforcement architecture structurally resistant to regulatory capture;
- (3) Mandate proportionate reparation for documented harm;
- (4) Impose personal criminal liability, including incarceration, for irreversible harm and for recurrence;
- (5) Align the incentive structures of all institutional actors with the long-term welfare of persons and planet.

SECTION 2 — DEFINITIONS

As used in this Act, the following terms shall have the meanings assigned:

2.1 EXPLOITATION. Any act, practice, policy, system, contract, instrument, or institutional design by which an Actor extracts disproportionate value from a Vulnerable Party, a dependent community, or a natural system in a manner that produces Harm, where the capacity to extract derives from a structural, informational, legal, economic, or physical asymmetry. Exploitation is a behavioral designation, not a transactional one. The existence of a contract, consent, or legal authorization does not preclude a finding of exploitation where the conditions producing consent were themselves a product of asymmetric power or manufactured necessity.

2.2 HARM. Any measurable degradation of the physical, financial, psychological, civic, or ecological conditions of a person, community, or natural system, including:

- (a) Direct harm — harm whose causal chain from Actor conduct to degraded outcome is immediate and traceable;
- (b) Indirect harm — harm that manifests through systemic, aggregate, or downstream effects, including harms that accumulate over time or propagate through institutional systems;
- (c) Intergenerational harm — harm whose full consequences are borne by persons not yet born or not yet of majority at the time of the exploitative act;
- (d) Ecological harm — measurable degradation of air, water, soil, biodiversity, or atmospheric stability; and
- (e) Structural harm — the deliberate design or perpetuation of systems whose foreseeable effect is to perpetuate conditions of exploitation.

2.3 ACTOR. Any natural person, corporation, limited liability company, partnership, trust, financial institution, political committee, trade association, nonprofit organization, governmental agency, or instrumentality thereof, whose conduct, policy, or institutional design produces or perpetuates Exploitation.

2.4 VULNERABLE PARTY. Any person or group whose capacity to negotiate, refuse, or exit a relationship with an Actor is materially constrained by economic necessity, legal dependency, informational asymmetry, physical incapacity, or the absence of viable alternatives — including workers, patients, debtors, tenants, and communities whose environmental conditions are controlled by industrial actors.

2.5 REPARATION. The full restoration of a Vulnerable Party, community, or natural system to the condition that would have prevailed absent the Exploitative act, including compensation for documented losses and, where full restoration is impossible, equitable compensatory damages calibrated to the magnitude and duration of Harm.

2.6 REGULATORY CAPTURE. Any process by which an enforcement or oversight body becomes structurally oriented toward the interests of the entities it oversees, including through the revolving door, financing of oversight operations by regulated entities, political appointment processes controlled by regulated industries, or sustained defunding of oversight capacity.

2.7 EXPLOITATION HARM INDEX (EHI). The standardized measurement instrument established by the Office of Harm Measurement for quantifying the magnitude, breadth, duration, reversibility, and distribution of Harm attributable to a documented Exploitative act. The EHI shall be the primary evidentiary basis for liability determinations and reparation calculations under this Act.

SECTION 3 — GENERAL PROHIBITION

3.1 Strict Prohibition

No Actor shall engage in, facilitate, design, maintain, or profit from Exploitation as defined in this Act. The prohibition applies to all Actors operating within, or whose conduct produces Harm within, the jurisdiction of the United States.

3.2 Strict Liability Standard

Liability under this Act is strict. It is established upon demonstration of:

- (a) An act of Exploitation as defined in Section 2.1; and
- (b) Resulting Harm as defined in Section 2.2, quantified pursuant to the Exploitation Harm Index.

No showing of intent, negligence, recklessness, or bad faith is required. Motivation is not a defense, a mitigating factor, or relevant to liability. The existence of profit, industry convention, shareholder obligation, or market norms is not a defense.

DESIGN NOTE — Why Strict Liability?

The motivation-irrelevance standard is deliberate and essential. The existing system survives not through malice but through incentive architecture. Executives who deny medically necessary claims follow compensation structures. Private equity managers who strip pension obligations fulfill fiduciary duties as currently defined. The 'I was following the law' defense is precisely how systemic harm is industrialized at scale. Strict liability closes that escape permanently.

3.3 Enumerated Exploitative Practices

Without limitation to the general prohibition, the following practices are expressly designated as Exploitative and subject to strict liability upon demonstration of Harm:

- (a) **MANUFACTURED COMPLEXITY AS EXTRACTION.** Any institutional design or regulatory architecture intentionally structured to be incomprehensible to persons without professional assistance, for the purpose of inducing expenditure on intermediaries or producing errors that generate revenue or penalties against Vulnerable Parties, including the current private tax preparation industry model;
- (b) **MEDICAL NECESSITY GATEKEEPING FOR PROFIT.** Any practice by a health insurer or hospital system of conditioning access to medically necessary care on pre-authorization requirements or coverage determinations made by personnel whose compensation is structured to reward denial of claims;
- (c) **WAGE SUPPRESSION THROUGH LEGISLATIVE PURCHASE.** Any coordinated lobbying expenditure designed to prevent the establishment of a living wage, paid sick leave, paid family leave, or other labor standard whose absence demonstrably transfers financial risk from employers to workers;
- (d) **PREDATORY FINANCIAL INSTRUMENT DEPLOYMENT.** Any practice of extending credit instruments, fee structures, or penalty schedules to Vulnerable Parties under conditions of manufactured or exploited desperation, including overdraft harvesting, payday lending, for-profit student lending, and rent-to-own structures;
- (e) **PRISON LABOR EXTRACTION.** Any compelled labor of incarcerated persons at wages below the federal minimum wage, or any contract between a governmental entity and a private detention facility that includes occupancy minimums, bed quotas, or population guarantees;
- (f) **REGULATORY CAPTURE AS SYSTEMIC HARM.** Any lobbying campaign whose documented and measurable effect is to prevent, weaken, or reverse regulatory protections for Vulnerable Parties or natural systems;
- (g) **TAX CODE PURCHASE.** Any lobbying expenditure resulting in the enactment or preservation of a tax provision whose primary beneficiaries are entities in the top one percentile of income or net worth, and whose burden is borne disproportionately by persons below the national median income;
- (h) **INTERGENERATIONAL ECOLOGICAL EXTRACTION.** Any industrial, agricultural, or commercial practice that measurably degrades air, water, soil, or atmospheric stability, where the costs are borne by persons, communities, or ecosystems that received no economic benefit from the practice;
- (i) **POVERTY TRAP ARCHITECTURE.** Any system of means-tested benefits, benefit cliffs, work requirements, or debt structures engineered to penalize incremental economic advancement by persons in poverty; and
- (j) **STRUCTURAL EDUCATIONAL INEQUALITY.** Any system of public education funding that produces measurably inferior educational outcomes for children in lower-income geographic areas through zoning law or local property tax dependency.

SECTION 4 — INDEPENDENT ENFORCEMENT ARCHITECTURE

The primary vulnerability of any anti-exploitation framework is regulatory capture — the systematic conversion of enforcement bodies into protectors of the entities they oversee. This Section establishes structural safeguards designed to make capture structurally difficult, transparently detectable, and automatically corrective.

4.1 Office of Harm Measurement (OHM)

There is hereby established the Office of Harm Measurement (OHM), an independent body whose mandate is the scientific measurement, indexing, and public reporting of systemic harm. The OHM shall:

- (a) Develop and maintain the Exploitation Harm Index (EHI), a standardized, peer-reviewed, publicly accessible instrument for quantifying all categories of Harm;
- (b) Publish annual reports on the EHI scores of all Actors subject to monitoring;
- (c) Accept and investigate public complaints from any person or organization alleging Exploitation;
- (d) Refer findings meeting established thresholds to the Office of Exploitation Prosecution; and
- (e) Be funded exclusively through the Exploitation Remediation Trust Fund derived from collections under this Act, not through congressional appropriation.

4.2 Anti-Capture Structural Requirements for OHM

To structurally resist regulatory capture, the OHM shall operate under the following mandatory constraints:

Capture Vector	Structural Remedy
Revolving Door	No OHM official may have been employed by or held equity in any entity subject to OHM jurisdiction within the preceding ten years. Post-service, no official may join such an entity for seven years.
Political Appointment	OHM Director appointed by a non-partisan Selection Commission of randomly selected federal judiciary members, with Senate confirmation limited to a simple majority without holds or filibuster.
Funding Dependency	Funded exclusively through the Exploitation Remediation Trust Fund. Zero congressional appropriation authority. The budget cannot be reduced by political action.
Information Asymmetry	OHM has subpoena authority over all financial, operational, and communications records of any Actor under investigation. Document destruction during an investigation is a strict liability felony.
Institutional Memory Loss	All OHM findings, methodologies, and case records are permanent public records, archived in perpetuity and inaccessible to modification or deletion by any governmental actor.

4.3 Office of Exploitation Prosecution (OEP)

There is hereby established the Office of Exploitation Prosecution (OEP), an independent prosecutorial body subject to the same anti-capture requirements as the OHM. The OEP shall have authority to:

- (a) Bring civil actions seeking reparation, disgorgement, structural injunction, and dissolution;
- (b) Bring criminal actions against natural persons who authorized, directed, or materially benefited from Exploitative acts producing irreversible Harm or recurrence; and

- (c) Refer matters to the Department of Justice for parallel prosecution where federal criminal statutes are implicated.

4.4 Citizen Enforcement and Qui Tam Provisions

Any person may bring a civil action under this Act on behalf of the United States and shall be entitled to receive 25%–40% of any recovery. Legal fees in successful citizen enforcement actions shall be borne by the defendant. This provision ensures that no governmental defunding, capture, or inaction can wholly disable the enforcement mechanism.

SECTION 5 — LIABILITY, REPARATION, AND CRIMINAL CONSEQUENCES

5.1 Civil Liability and Reparation

Any Actor found liable under this Act shall be subject to the following cumulative remedies:

- (a) **FULL REPARATION.** The Actor shall restore, at its own expense, any Vulnerable Party, community, or natural system to the condition that would have prevailed absent the Exploitative act. Where full restoration is impossible, the Actor shall pay compensatory damages equal to three times the EHI-calculated economic value of the irreversible Harm;
- (b) **DISGORGEMENT.** The Actor shall disgorge all profits and financial gains derived from the Exploitative act across the full period during which Exploitation occurred;
- (c) **STRUCTURAL INJUNCTION.** The court may impose binding modifications to the Actor's business model, governance, or compensation structure as necessary to prevent recurrence; and
- (d) **DISSOLUTION.** For entities found to have engaged in persistent, systemic, or recurrent Exploitation, dissolution and redistribution of assets to the remediation fund shall be available.

5.2 Criminal Liability for Natural Persons

The following natural persons shall be subject to criminal prosecution and incarceration:

- (a) **IRREVERSIBLE HARM.** Any natural person who authorized, directed, knew of, or materially benefited from an Exploitative act producing irreversible Harm — including premature death, permanent disability, ecosystem destruction, or permanent foreclosure of educational or economic opportunity for a child — shall be subject to imprisonment with a minimum of five years and a maximum of life, proportional to the EHI score;
- (b) **RECURRENCE WITHOUT REMEDIATION.** Any natural person who authorized, directed, or materially benefited from Exploitation following a prior adjudication under this Act, where no substantive remedial action was taken, shall be subject to imprisonment of not less than ten years per recurrence; and

(c) **REGULATORY CAPTURE.** Any natural person who knowingly participates in Regulatory Capture as defined in Section 2.6, including through financing campaigns to weaken or convert enforcement bodies, shall be subject to imprisonment of not less than five years.

DESIGN NOTE — Why Incarceration?

The existing system of corporate fines produces a specific and predictable outcome: fines are absorbed as operating expenses and paid by shareholders rather than by the decision-makers who authorized the harm. No behavioral change results because no behavioral actor bears personal consequences. Incarcerating the natural persons whose decisions produced irreversible harm changes the decision calculus at the point where decisions are actually made. It does not punish poverty. It punishes the exercise of power without accountability.

5.3 Penalty Calibration — EHI Framework

The EHI shall determine the magnitude of civil and criminal consequences:

EHI Score	Civil Remedy	Criminal Exposure	Example Pattern
1–25	Reparation + disgorgement	Civil only	Unlawful overdraft fee program
26–50	Reparation + 2x disgorgement + injunction	Possible criminal referral	Systematic denial of necessary medical care
51–75	Reparation + 3x disgorgement + structural remedy	Criminal: 5–15 years	Pension elimination; mass medical bankruptcy
76–90	Reparation + 3x disgorgement + dissolution available	Criminal: 15–30 years	Environmental contamination; mass denied-care mortality
91–100	Full dissolution; reparation trust	30 years to life	Irreversible ecosystem destruction; intergenerational harm at scale

SECTION 6 — THE EXPLOITATION REMEDIATION TRUST FUND

There is hereby established the Exploitation Remediation Trust Fund (ERTF), a permanent fund into which all reparation payments, disgorgement awards, and penalties collected under this Act shall be deposited, and from which the following shall be funded:

- (a) Operations of the OHM and OEP at their mandated funding levels;
- (b) Direct reparation payments to Vulnerable Parties identified in enforcement actions;
- (c) Community remediation programs in geographic areas meeting threshold Harm Index criteria;

- (d) Ecological restoration initiatives for natural systems damaged by Exploitation; and
- (e) A permanent legal aid fund ensuring SEPA counsel access for Vulnerable Parties without financial means.

The ERTF shall be administered by an independent Board of Trustees subject to the same anti-capture requirements as the OHM. No funds may be redirected for any non-enumerated purpose except by a two-thirds supermajority vote of both chambers of Congress and ratification by three-quarters of state legislatures.

DESIGN NOTE — Self-Funded Enforcement

Conventional regulatory agencies are perpetually vulnerable to defunding by legislatures captured by the industries they oversee. By funding the OHM and OEP exclusively through collections from the entities they regulate, and by constitutionally insulating that funding from congressional appropriation, this Act removes the primary lever through which regulatory capture operates at the budgetary level. An agency that cannot be starved cannot be captured by starvation.

SECTION 7 — RELATIONSHIP TO EXISTING LAW

This Act is intended to complement, not replace, existing federal and state law. Specifically:

- (a) Where this Act establishes a stricter standard of liability or a broader definition of harm than existing law, this Act controls;
- (b) Nothing in this Act limits any remedy available under existing federal antitrust, environmental, labor, securities, or consumer protection law;
- (c) The carried interest characterization of investment manager compensation, the step-up in basis provision at death, the tipped minimum wage subminimum, and any statutory provision whose primary effect is the creation of a tax preference available only to persons in the top one percentile are hereby subject to EHI assessment, and if found to produce demonstrable Harm, shall be subject to injunctive relief under Section 5.1(c) and referral to Congress for immediate legislative remedy;
- (d) The Thirteenth Amendment exception permitting compelled labor as punishment for crime is superseded by this Act with respect to compensation, which shall in all cases meet or exceed the federal minimum wage; and
- (e) The doctrine that corporate entities owe a fiduciary duty exclusively to shareholders, to the exclusion of workers, communities, and natural systems, is superseded by this Act, which establishes that all corporate actors owe a duty of non-exploitation to all parties whose welfare is materially affected by their conduct.

SECTION 8 — IMPLEMENTATION TIMELINE

Timeline	Milestone
Year 1	Enactment; establishment of OHM and OEP; Director appointments; initial EHI methodology development and public comment period
Year 2	Finalization of EHI v1.0; commencement of Actor monitoring; opening of public complaint portal; initial OEP investigations
Year 3	First enforcement actions filed; ERTF operational; initial reparation distributions; first Annual Harm Report published
Years 4–5	Full enforcement at scale; EHI v2.0; international harm comparison benchmarking; congressional review
Year 10	Mandatory comprehensive review; EHI audit by an independent academic panel; public referendum on continuation, expansion, or amendment

SECTION 9 — CONSTRUCTION, SEVERABILITY, AND EFFECTIVE DATE

This Act shall be liberally construed to effectuate its remedial purpose. If any provision of this Act is held invalid, the remainder of the Act and its application to other persons or circumstances shall not be affected.

This Act shall take effect ninety days following enactment, except that Sections 3 (General Prohibition) and 5.2 (Criminal Liability) shall take effect one year following enactment to permit institutional preparation by the OHM and OEP.

DRAFTING NOTES AND DESIGN RATIONALE

This draft was developed from five foundational design principles that should guide any subsequent refinement:

PRINCIPLE 1 — BEHAVIORISM OVER INTENT. The central innovation of this framework is the reclassification of exploitation from a transactional concept (requiring proof of knowing wrongdoing) to a behavioral designation (requiring only the act and its measurable harm). This removes the corporate veil as a liability shield and closes the 'I was following the law' or 'I was fulfilling my fiduciary duty' defense that allows systemic harm to be industrialized at scale.

PRINCIPLE 2 — CAPTURE-RESISTANT ARCHITECTURE IS THE HARD PROBLEM.

Every regulatory framework in American history has eventually been captured by the industries it was meant to oversee. This draft attempts structural resistance through: (a) self-funding from collections, not appropriations; (b) appointment processes insulated from industry-financed political campaigns; (c) revolving-door prohibitions with real consequences; (d) permanent public records immune to deletion; and (e) distributed citizen enforcement through qui tam provisions that function even when institutional enforcement fails. No architecture is perfectly capture-proof, but each safeguard raises the cost and complexity of capture.

PRINCIPLE 3 — THE EHI IS THE LOAD-BEARING MEMBER. The Exploitation Harm Index is not a detail — it is the technical infrastructure upon which this entire framework rests. A well-designed EHI that is scientifically rigorous, publicly transparent, and resistant to methodological manipulation is what distinguishes this framework from a political statement. The EHI development process must be insulated from industry influence, peer-reviewed, and subject to regular public audit. Investment in the EHI is investment in the enforceability of the entire Act.

PRINCIPLE 4 — REPARATION, NOT PUNISHMENT. The primary remedy under this Act is restoration, not retribution. The punitive measures — disgorgement, criminal liability, dissolution — exist to alter incentive structures. The restorative core exists because the purpose of accountability for exploitation is not to make exploiters suffer but to make exploited parties whole. These are related but distinct objectives, and the Act must not lose sight of the distinction.

PRINCIPLE 5 — THIS LAW CANNOT EXIST IN ISOLATION. S.E.P.A. in isolation addresses symptoms that flow from a deeper structural reality: political campaigns are financed by the industries whose conduct this law regulates. S.E.P.A. must be paired with comprehensive campaign finance reform — ideally, publicly financed elections — to address the upstream condition that makes all downstream exploitation legislation vulnerable. This Act is a necessary but not sufficient condition for the transformation described in its Preamble.